

HOUSE BILL 2216

By Howell

AN ACT to amend Tennessee Code Annotated, Title 3,
Chapter 2 and Title 4, Chapter 56, relative to fiscal
review.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 3-2-107, is amended by deleting
subdivision (a)(2)(B).

SECTION 2. Tennessee Code Annotated, Section 4-56-107, is amended by deleting the
section and substituting instead:

(a)

(1) The following contracts and contract amendments shall be subject to
review by the fiscal review committee of the general assembly:

(A) Proposed noncompetitive contracts with a maximum liability of
not less than two hundred fifty thousand dollars (\$250,000), as projected
through the maximum term of the contract, including consideration of all
provided extensions and renewals, regardless of whether the maximum
liability for the original base term is below that amount; and

(B) Any amendment to a contract that meets or, as amended,
would meet the dollar threshold in subdivision (a)(1)(A), regardless of
whether the original contract was procured through competitive or
noncompetitive means, that:

- (i) Increases or decreases the maximum liability;
- (ii) Extends or shortens the contract term;

(iii) Changes the contracting entity or name of the contracting entity; or

(iv) Otherwise alters the original contract or a prior amendment, including, but not limited to, changes to scope, deliverables, pricing methodology, or performance requirements.

(2) For purposes of this section, "noncompetitive contract":

(A) Means any procurement arrangement for goods or services entered into by, or on behalf of, a procuring agency without a competitive solicitation having been formally conducted by the procuring agency or by the chief procurement officer, regardless of whether the arrangement is designated as a contract, grant, agreement, amendment, or other procurement vehicle; and

(B) Includes any arrangement that binds the agency to the terms of an agreement that was competitively procured by another state or governmental entity of another state.

(b)

(1) Contracts subject to review include, but are not limited to, all contracts of the executive branch that otherwise meet the requirements of subdivision (a)(1), including, but not limited to, contracts of higher education, including the board of regents, the University of Tennessee, all other land grant institutions, and the Tennessee higher education commission.

(2) Contracts not subject to review include:

(A) Contracts awarded to a public institution of higher education to procure research or goods or services that are intended to result in an unambiguous and direct benefit to the public;

(B) Contracts awarded to a governmental entity, including, but not limited to, a local government;

(C) Highway and road improvement contracts reviewed by the department of transportation;

(D) Contracts reviewed by the state building commission; and

(E) Debt issuance contracts reviewed by the comptroller of the treasury.

(3) If the chief procurement officer or procuring agency is unable to determine whether a proposed contract or contract amendment is subject to review by the fiscal review committee, the chief procurement officer or procuring agency shall contact the fiscal review committee staff for a determination.

(4) In addition to the contracts subject to mandatory review under this section, the fiscal review committee, pursuant to its jurisdiction in § 3-7-103(a), and upon the committee providing a formal request to the procuring agency, is authorized to review any other state contract or contract amendment entered into by any branch of state government in accordance with the procedures established in this section, without regard to whether the contract or contract amendment otherwise meets the requirements or the exemptions established in subsections (a) or (b).

(c) If review is required pursuant to subsection (a), or upon a determination by the fiscal review committee pursuant to subdivision (b)(4), the procuring agency shall contemporaneously file a request with the fiscal review committee, the comptroller of the treasury, and the chief procurement officer, if the contract is otherwise subject to such entity's oversight. The request submitted to the fiscal review committee must include the following:

- (1) Description of the goods or services to be acquired;
- (2) Explanation of the need for or requirement to acquire the goods or services;
- (3) Name and address of the proposed contractor's principal owner;
- (4) Evidence that the proposed contractor has experience in providing the same or similar goods or services and evidence of the length of time the contractor has provided the same or similar goods or services;
- (5) Explanation of whether the goods or services were purchased by the procuring agency in the past and, if applicable, the method used to purchase the goods or services and the name and address of the contractor;
- (6) Description of the procuring agency's efforts to use existing state employees and resources or, in the alternative, to identify reasonable and competitive procurement alternatives, rather than to use noncompetitive negotiation;
- (7) Justification of why the goods or services should be acquired through noncompetitive negotiation; and
- (8) Any additional information that the fiscal review committee may direct the procuring agency to provide that will assist the committee in evaluating the contract.

(d)

- (1) All contracts and amendments subject to review pursuant to subdivision (a) must be submitted to the fiscal review committee by no later than sixty (60) calendar days prior to the contract's or amendment's proposed effective date. The fiscal review committee has sixty (60) calendar days from receipt of a request filed pursuant to this section to comment on a proposed

contract or contract amendment. Upon expiration of this review period, unless the review period has been extended pursuant to subdivision (d)(3), any such contract or amendment authorized by the chief procurement officer may be executed.

(2) The chair of the fiscal review committee, or the chair's designee, may waive the sixty-day review period and authorize the chief procurement officer to execute a contract or contract amendment determined to be in the best interest of the state, with reporting to and comment by the committee at its next scheduled meeting, if such reporting is required by the chair.

(3) The chair of the fiscal review committee, or the chair's designee, may extend the sixty-day review period in extenuating circumstances if, upon consultation with the chief procurement officer and the procuring agency, as applicable, the chair or designee determines that the extension would not materially delay the timely procurement of the goods or services.

(e)

(1) No later than the fifth business day of each calendar month, the chief procurement officer shall report to the fiscal review committee the following information for the prior calendar month:

(A) An itemized listing of all contracts, grants, or any other procurement arrangements that were awarded during the prior month, competitive and noncompetitive; and

(B) Any policy, procedure, or rule change to the state procurement processes planned for the following month.

(2) The report required pursuant to subdivision (e)(1) must include the name of the department or agency for which the procurement is made, contract

number, description of the goods or services procured, contractor name, contract period, contract amount, procurement method, and any additional information that the fiscal review committee requests the chief procurement officer to provide or that the chief procurement officer elects to include.

(3) Each procuring agency granted a special delegated authority, pursuant to rules authorized by § 4-56-105, to establish goods and services contracts shall report to the fiscal review committee a list of all contracts awarded under the delegated authority. The list of contracts awarded must be filed quarterly and must include the description of the goods or services procured, contractor name, contract period, contract amount, procurement method, completion date for a monitoring review, and any additional information that the fiscal review committee requests the procuring agency to provide or that the procuring agency elects to include.

(4) The department of transportation and the state building commission shall each report to the fiscal review committee, within thirty (30) days of approval, contracts approved by the respective entity that were exempt from committee review pursuant to subdivisions (b)(2)(C) and (D) and that otherwise meet the requirements of subdivision (a)(1). The report must include a description of the goods or services procured, contractor name, contract period, contract amount, procurement method, and any additional information that the committee requests the department or commission to provide or that the department or commission elects to include.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.